

(7 pages)

MAY 2021

P/ID 77928/RMB1D

Time : Three hours

Maximum : 80 marks

PART A — ($10 \times 2 = 20$ marks)

Answer any TEN questions.

Write a note on the following.

1. Cost Accounting
2. Money measurement concept
3. Liquidity ratio
4. Comparative balance sheet
5. Funds from operations
6. Marginal cost sales
7. ZBB
8. Budget
9. Variable overheads
10. Actual output
11. Cost sheet
12. Material Price Variance

PART B — ($5 \times 6 = 30$ marks)

Answer any FIVE questions.

13. What are the advantages of double entry system of book keeping?
14. Enter the following transactions into journal and ledger of Raj of Chennai:

2009 March 1 Raj commenced business with cash 30,000

March 3 Purchased goods for cash 1,500

March 4 Deposited into Bank 21,000

March 5 Withdrew from bank for office use 1,500

March 6 Sold goods to Ramu 1,500

March 10 Purchased goods on credit from Kannan 680

March 19 Received from Ramu 1,470 and allowed him discount 30

March 20 Cash sales 2,400

March 27 Paid to Kannan in full settlement 650

March 28 Paid rent 150 Paid salary 30

15. What are the objectives of preparing trial balance.
16. Explain Trend Percentage method of financial statement analysis
17. Calculate prime cost from the following information:
 Opening stock of raw material = Rs. 12,500
 Purchase raw material = Rs. 75,000
 Expense incurred on raw material = Rs. 5,000
 Closing stock raw material = Rs. 22,500
 Wages Rs. 47,600 Direct expenses = Rs. 23,400
18. The following information relates to a flexible budget at 60% capacity. Find out the overhead costs at 50% and 70% capacity and also determine the overhead rates:

Particulars	Expenses at 60% capacity
Variable overheads :	
Indirect Labour	10,500
Indirect Materials	8,400
Semi-variable overheads :	
Repair and Maintenance (70% fixed ; 30% variable)	7,000
Electricity (50% fixed ; 50% variable)	25,200

Fixed overheads :

Office expenses including salaries	70,000
Insurance	4,000
Depreciation	20,000
Estimated direct labour hours	1,20,00 hours

19. The following is the balance sheet of a company as on 31st march

Liabilities	Rs.	Assets	Rs.
Share capital	2,00,000	Land and buildings	1,40,000
Profit and loss account	30,000	Plant and machinery	3,50,000
General reserve	40,000	Stock	2,00,000
12% debentures	4,20,000	Sundry debtors	1,00,000
Sundry creditors	1,00,000	Bills receivables	10,00
Bills payable	50,000	Cash at bank	40,000,
	8,40,000		8,40,000

Calculate

- (a) Current ratio
- (b) Quick ratio
- (c) Inventory to working capital

PART C — (3 × 10 = 30 marks)

Answer any THREE questions.

20. Explain the various tools of financial analysis. Justify the need for analysis and interpretation of financial statements.
21. Explain in detail the advantages and disadvantages of budgetary control system.
22. Prepare Trading and Profit and Loss Account and Balance Sheet of M/s Royal Traders from the following Trail Balance as on March 31st 2015.

Name of Accounts	Debit Name of Amount Accounts	Credit Amount
Stock	20,000 Sales	2,45,000
Cash	5,000 Creditors	10,000
Bank	10,000 Bills payable	4,000
Carriage on purchases	1,500 Capital	2,00,000
Purchases	1,90,000	
Drawings	9,000	
Wages	55,000	
Machinery	1,00,000	
Debtors	27,000	

Postage	300	
Sundry Expenses	1,700	
Rent	4,500	
Furniture	35,000	
Total	<u>4,59,000</u>	<u>4,59,000</u>

Closing stock valued on March 31st 2015 at Rs. 8,000

23. From the following balance sheet of XYA for the year ended on 31st December 2015 and 2016. Prepare a statement showing sources and applicants of funds and schedule of changes in working capital.

Liabilities	2015	2016	Assets	2015	2016
	Rs.	Rs.		Rs.	Rs.
Share capital	4,00,000	5,75,000	Cash	1,43,000	2,70,000
Creditors	1,06,000	70,000	Debtors	1,81,000	1,70,000
Profit and loss a/c	14,000	31,000	Stock	1,21,000	1,36,000
			Plant	75,000	1,00,000
Total	<u>5,20,000</u>	<u>6,76,000</u>		<u>5,20,000</u>	<u>6,76,000</u>

24. Assuming that the cost structure and selling prices remain the same in periods I and II find out:

- (a) PV ratio
- (b) Break Even Sales
- (c) Profit when sales are 1,00,000
- (d) Sales required to earn a profit of 20,000

Period	Sales	Profit
I	1,20,000	9,000
II	1,40,000	13,000